

understand the consequences if my analysis turns out to be wrong?” Answer that question by considering these points:

- If I’m right, I could make a lot of money. But what if I’m wrong? Based on the historical performance of similar investments, how much could I *lose*?
- Do I have other investments that will tide me over if this decision turns out to be wrong? Do I already hold stocks, bonds, or funds with a proven record of going up when the kind of investment I’m considering goes down? Am I putting too much of my capital at risk with this new investment?
- When I tell myself, “You have a high tolerance for risk,” how do I know? Have I ever lost a lot of money on an investment? How did it feel? Did I buy more, or did I bail out?
- Am I relying on my willpower alone to prevent me from panicking at the wrong time? Or have I controlled my own behavior in advance by diversifying, signing an investment contract, and dollar-cost averaging?

You should always remember, in the words of the psychologist Paul Slovic, that “risk is brewed from an equal dose of two ingredients—probabilities and consequences.”⁴ Before you invest, you must ensure that you have realistically assessed your probability of being right *and* how you will react to the consequences of being wrong.

Pascal’s Wager

The investment philosopher Peter Bernstein has another way of summing this up. He reaches back to Blaise Pascal, the great French mathematician and theologian (1623–1662), who created a thought experiment in which an agnostic must gamble on whether or not God exists. The ante this person must put up for the wager is his conduct in this life; the ultimate payoff in the gamble is the fate of his soul in the afterlife. In this wager, Pascal asserts, “reason cannot decide” the probability of God’s existence. Either God exists or He does not—and only faith, not reason, can answer that